

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) F.M.M. — Semester VI Examination, 2015-16

Paper No. BCF-323: Derivatives Market Operations

Time: 3 Hours

Maximum Marks: 70

Instructions: Answer all questions. All questions carry equal marks (14 marks each).

Question 1.

Define Financial Derivatives and discuss its contribution to Indian capital market. [14]

OR

Write notes on the following: [7+7]

- (a) Forward Contract
- (b) Role of Derivatives in hedging risk

Question 2.

Describe salient features of futures contract. [14]

OR

Write notes on the following: [7+7]

- (a) Pricing of futures contract
 - (b) Index futures trading in India
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Question 3.

Explain the pay-off of long-put option and short-call option with example. [14]

OR

What is meant by option contract? Discuss different factors that influence option premium. [14]

Question 4.

Describe the usefulness of swaps in reducing exchange rate risk. [14]

OR

Write notes on the following: [7+7]

- (a) Pricing of swaps
 - (b) Types of swaps
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Question 5.

Discuss the role of SEBI in regulating derivatives trading in India. [14]

OR

Write notes on the following: [7+7]

- (a) Value of Option
- (b) Recommendations of L. C. Gupta Committee